

NEW YEAR REVISIONS

► CONSUMER PRICE INDEX

TO BE RELEASED ON FEBRUARY 12, WITH A BASE YEAR OF 2024

► GROSS DOMESTIC PRODUCT

TO BE RELEASED ON FEBRUARY 27, WITH A BASE YEAR OF 2022-23

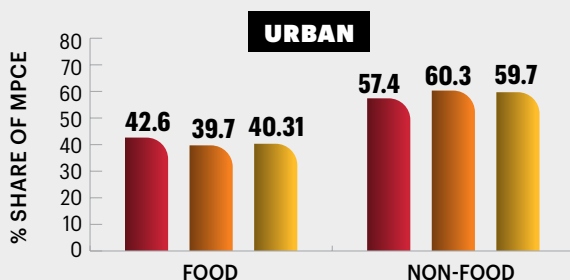
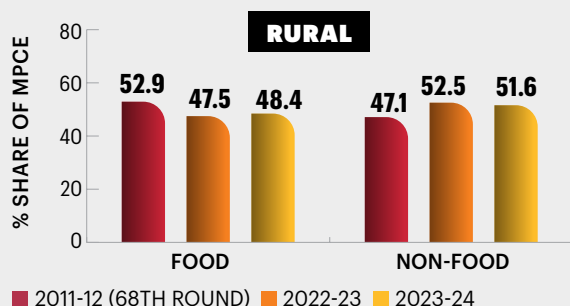
► INDEX OF INDUSTRIAL PRODUCTION

TO BE RELEASED ON MAY 28, WITH A BASE YEAR OF 2022-23



CHANGING PREFERENCES

- The Household Consumption Expenditure Survey is the base for making the consumption basket of individuals
- The base year revision was delayed because of a delay in the Survey



■ 2011-12 (68TH ROUND) ■ 2022-23 ■ 2023-24

MPCE IS MONTHLY PER CAPITA CONSUMPTION EXPENDITURE; **SOURCE** MOSPI

“On price statistics, CPI is available at adequate frequency and timeliness. The rating granted to the coverage reflects outdated CPI base year, items basket, and weights (2011/12), implying that the CPI basket likely fails to accurately represent current spending habits,” the IMF noted.

Several economists have also flagged concerns that growth may have been overstated in recent quarters due to issues in compilation of national accounts and use of a single deflator. The divergences between GDP and gross valued added and measurement of the informal economy have also been pointed out as problems. For instance, economists highlighted discrepancies of 3.3% between GDP calculated by production and expenditure approaches in the second quarter of FY26, when the economy grew at a higher-than-anticipated 8.2% year-on-year. Discrepancies were 2.3% in the first quarter of the fiscal and have been flagged by economists time and again.

When the Q2FY26 GDP estimates were released at the end of November, a report by HSBC Global Investment Research noted that the Central Statistics Office’s practice of using single deflation, instead of double, in calculating GVA data leads to an overestimation of growth in periods when commodity prices are falling. It also noted that India’s services sector GDP deflator aligns more with goods-oriented WPI inflation than with CPI services inflation, adding that this is particularly a problem when manufacturing inflation is falling because of softer commodity prices. This ends up deflating services inadequately, leading to exaggerated real growth. As per its calculations, CPI services inflation for the quarter was 3.4%, which was higher than the 1.9% GDP deflator used for services. “If we switch to the former, real services growth falls by 1.5 percentage points, and GDP growth falls by about 0.8 percentage points,” it said.

Nomura, too, noted that July-September 2025 was the second consecutive quarter when the market not only underestimated the quantum of GDP growth, but also its direction, forecasting a slowdown instead of a surge. “Really low GDP deflators have added to the unpredictability of the series. Consequently, there seems to be a divergence between GDP statistics and evidence from high-frequency activity indicators, making it difficult to gauge whether the GDP data are indeed reliably reflecting the state of the economy,” it said.